



“By increasing income tax exemptions and putting nearly ₹1 lakh crore back into the hands of consumers, disposable income will rise significantly”

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“The finance minister, instead of scrapping the old tax regime altogether, has placed it on life support”

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TAX EXPERT

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for remittances under the Reserve Bank of India's Liberalized Remittance Scheme (LRS) has been raised from ₹7 lakh to ₹10 lakh. The removal of TCS on education-related remittances, when funded by a loan from a recognised financial institution, reduces the compliance burden.

“These changes aim to increase discretionary income for taxpayers, while the compliance framework has been strengthened to ensure fiscal discipline. The (Finance) Ministry has also implemented measures for monitoring crypto transactions and extended the limit for filing updated tax returns for up to four assessment years,” says Neeraj Agarwala, Partner at Nangia Andersen India.

The Budget increased the annual TDS threshold on rent from ₹2.4 lakh to ₹6 lakh for properties let out for commercial purposes. “This will reduce the tax burden on smaller landlords and increase their dispos-

able income. Additionally, the reduction in TDS transactions will enhance operational efficiency,” says Vimal Nadar, Senior Director and Head of Research at Colliers India.

NEW V/S OLD TAX REGIME

A key takeaway from the finance minister's speech was an announcement that a new Income Tax Bill was on its way, to be presented in Parliament in this Budget session and which, when it becomes law, would replace the I-T Act of 1961. It is designed to simplify and clarify tax laws and reduce litigation.

Now the question that arises is this: What will happen to the old tax regime? Following reductions in tax rates in the last Budget, nearly three-fourths of taxpayers have already switched to the new tax regime. With more rationalization expected, it's anticipated that nearly all taxpayers will eventually

migrate to the new regime.

Central Board of Direct Taxes (CBDT) Chairman Ravi Agarwal told *Business Today* that around 95-97% of the taxpayers would join the new tax regime from the current 74-75%. He estimated the number of taxpayers at present at 80-85 million.

“A straight computation of income tax is available in the new tax regime with reduced rates. About 74% of the people have already adopted the new tax regime. I am sure that with this change that has been brought out in this amendment in the Finance Bill, more people would be prompted to join the NTR,” Agarwal said.

The Old Tax Regime allows for deductions like Housing Rent Allowance (HRA), Leave Travel Allowance (LTA), housing loan interest, and Section 80C deductions. These deductions are not available under the new regime, but the lower tax rates in the new regime are seen to make it more advantageous.

“Given the favourable bias towards the New Tax Regime, I had expected the Finance Minister to scrap the Old Tax Regime altogether. Instead, she has placed it on life support,” says Jain, the tax expert.

To avail of deductions under the old tax regime, taxpayers must maintain documentation and submit it to their employers. Some deductions, like LTA, are limited to domestic travel expenses within India.

Under Section 80C, many investments are locked in for long periods. “The New Tax Regime requires no such long-term commitments. It is a simpler, less burdensome regime,” explains Amit Singhania, Partner at Areete Law Offices. To be sure, the old tax regime remains relevant for certain taxpayers, especially those who maximise deductions and exemp-